

Uber Technologies, Inc. (UBER)

Q4 2024 Prepared Remarks

February 5, 2025

Dara Khosrowshahi, CEO

Uber had its strongest quarter ever, reaching all-time highs for trips, Gross Bookings, and Adjusted EBITDA, with accelerating growth across MAPCs, trips, and Gross Bookings. Notably, Gross Bookings year-over-year (YoY) growth exceeded even our own expectations, and came in above the high end of our guidance range on a constant-currency basis. We have now delivered 21% YoY growth in 4 of the last 5 quarters and—even more remarkably—our full-year 2024 growth of 21% YoY accelerated beyond the strong performance we delivered in 2023. We exited 2024 with balanced growth across Mobility and Delivery, leaving us very well positioned for 2025.

Our performance in 2024 was fueled by strong product innovation. We advanced our autonomous vehicles (AV) program with multiple new partnerships, including our first international launch; rapidly expanded Uber for Teens; introduced new Ads capabilities; rolled out Mobility-focused enhancements to Uber One; launched consumer shuttles in the US; deepened taxi partnerships around the world; powered restaurant delivery on the Instacart app; expanded merchant-funded offers; improved our Grocery and Retail catalog integration; and much more. By introducing more services, we've successfully grown multi-product usage, with 37% of Uber consumers now using multiple products, driving retention and increased spend, as consumers who use multiple products on average spend three times as much as those who don't.

Turning to the year ahead, our team is focused on a few key growth initiatives that will propel us forward. First and foremost, we are focused on making Mobility and Delivery more affordable, which will allow us to reach even more consumers. We are doing this at the same time as we are unlocking dozens of lower-density markets and supercharging our growth bets portfolio, which now generates over \$26 billion in annualized Gross Bookings (up 55% YoY). We are also continuing to prioritize the cost discipline that has significantly expanded our profit margins and cash flow generation over the past four years. Of course, executing brilliantly on our AV strategy remains our highest priority, and I will focus on that in more detail after briefly reviewing our Q4 performance.

Mobility

During our busiest quarter of the year, Mobility exceeded our high expectations and delivered another quarter of 24% Gross Bookings YoY growth, underpinned by stable YoY trip growth sequentially. Driver supply growth remains robust, with active drivers up 26% YoY, continuing to lead demand growth.

With strong supply tailwinds, our focus in 2024 shifted to boosting demand through product innovation and deeper TAM penetration. We took strong steps forward in broadening Mobility use cases and price segmentation, improving our platform's position with both existing and new customers.

In the premium segment, we launched Uber Business Black, which reimagines the traditional black car experience, combining the luxury of premium car services with the flexibility, familiarity, and ease of Uber. Our Uber for Business offering is also seeing strong results, with Gross Bookings up approximately 50% YoY, and there is still a long runway to further grow our share of wallet with the more than 200,000 companies and organizations we work with.

Our Uber for Teens product has been a runaway hit in the US, with families telling us that it's a game changer. Teen trips were up an incredible 50%+ quarter-over-quarter (QoQ) in Q4. We've now rolled this product out to 50 countries globally, and we are excited to serve even more teens and their families around the world in 2025.

In the low-cost category, UberX Share has exceeded \$2 billion in annualized Gross Bookings in less than 3 years. We recently launched UberX Share at 10 major airports and have plans to expand our scheduled UberX Share option to reach even more riders. Uber Shuttle, another low-cost product in the US, is scaling nicely in New York with additional routes to LaGuardia, and we expect to launch at more airports in 2025.

In addition to improving affordability through new products and membership, we anticipate a healthier US pricing backdrop in 2025, driven by three factors. First, the labor market has improved dramatically over the last few years, and we are a long way from our pivotal 2021 decision to make large investments to kickstart driver growth post-Covid. Driver supply has been in balance for several months now and is still growing steadily, with rider experience improving in the form of lower surge pricing. Second, inflationary pressures in the US are easing rapidly, particularly in used car and gas prices. Third, although insurance costs continue to be an enormous burden on families and businesses across the US, we have made significant progress in slowing insurance price increases through a combination of tech innovation and strong policy work. We now expect insurance costs on a per-trip basis to increase high single digits YoY (and lower if you exclude California and New Jersey) in 2025. To maximize demand, we remain committed to keeping prices as low as possible, passing through only the insurance cost increases to consumers; consequently, we expect UberX prices in the US to be up marginally in 2025.

Delivery

Delivery Gross Bookings accelerated to 18% YoY growth, crossing the quarterly \$20 billion mark for the first time. Delivery demand exceeded our expectations, driven by a step change in membership adoption, consumer preference for our expanding Grocery and Retail products, and

a strong holiday season. Notably, we are continuing to increase our Delivery audience—Q4 was the seventh straight quarter of Delivery MAPC YoY growth acceleration, and we are showing particular strength in the US, UK, Canada, and Mexico. From a competitive standpoint, this outperformance translated to our Delivery business gaining category position in every single one of our top 10 countries.

Looking ahead, we remain laser focused on driving affordability, expanding selection to newer categories, and improving our service in less dense areas.

On the affordability front, we continue to invest in a variety of initiatives, including merchant-funded offers and lower-cost options like Pickup. Merchant-funded offers help merchants drive incremental throughput in their stores while lowering the effective cost born by consumers on Uber Eats. In Q4 alone, consumers redeemed nearly \$1 billion (up 60%+ YoY) worth of offers funded by our merchant partners. Similarly, our Pickup option lets consumers order from their favorite restaurants through the familiar Uber Eats interface, at a meaningfully lower cost, all while driving improved throughput at better margins for restaurants. And consumers who use Pickup engage significantly more on Uber Eats overall.

Our efforts to expand Grocery and Retail adoption have increased spend and engagement across our Delivery offering. We continue to improve selection, and recently added Home Depot to bring essential tools and other supplies to our customers (which now includes DIYers and professional contractors at job sites). In addition, we added beloved US grocery chains Wegmans and Stew Leonard's, further improving our grocery coverage across the East Coast. We are also investing in new capabilities such as the Shopper Pick & Pack feature in select markets, providing flexibility for couriers to shop for orders without also needing to deliver them. We are seeing meaningful improvements as it relates to cost efficiency and increased fulfillment reliability.

Similar to our proven efforts with Mobility, we are making strides in driving growth in our non-Tier 1 cities. In the US, we are bringing more choice to merchants and consumers, who have historically been underserved by the lack of focused competition in these areas. And internationally, we are building out our service in sparser geos in countries where we are already the category leader nationally. As a result of our concerted efforts on this front, our active eaters, active merchants, and orders in these low-density markets, are growing *multiples faster* than our high-density markets.

Platform initiatives

We had a stellar quarter of growth for Uber One. Our member base now stands at 30 million, up roughly 60% YoY and nearly 5 million from just one quarter ago. With Uber One now available in every Delivery country, we are driving incremental growth through improved retention and increased value for our customers. We are amplifying the power of Uber One through experiential and use-case based benefits. For example, Uber One members can receive an

upgrade to Priority Delivery, resulting in faster delivery times, or get matched with top-rated shoppers when they order groceries. Similarly, we've rolled out new travel and commute benefits, including higher cashback discounts on premium rides and priority pickup to and from airports for members. We are piloting several new benefits that will roll out to consumers in 2025—much more to come on this front.

On the partnership front, we recently announced a partnership with Delta Air Lines to allow Uber customers the opportunity to earn Delta SkyMiles when they ride and order. Since the announcement, we've seen the waitlist grow to more than 300,000 people ahead of rewards beginning this spring.

Autonomous vehicles *(see supplemental slides for supporting details)*

2024 was a turning point for the industry, as AV technology began to mature and more people experienced the magic of their first autonomous ride. Multiple AV developers, including Waymo, WeRide, Pony, and Baidu, are now offering fully self-driving rides to the public in geofenced areas. Many others, including Avride, Mobileye, Nuro, Tesla, and Zoox could reach that milestone in the coming quarters or years.

Naturally, investors are debating whether AVs pose a risk or present a massive opportunity for Uber. Based on our deep engagement with AV technology developers, auto OEMs and other experts and technologists in the ecosystem, I am more confident than ever that Uber is uniquely positioned to capture the \$1 trillion+ opportunity that autonomy will unlock in the US alone.

Even as we see AV technology advancing, we expect *AV commercialization* will take significantly longer. Several pieces of the go-to-market puzzle still need to come together, including: a consistently super-human safety record; enabling regulations; a cost-effective, scaled hardware platform; excellent on-the-ground operations; and a high-utilization network that can manage variable demand with flexible supply.

Every one of these five pieces must work in concert, or the puzzle falls apart. For example, even the lowest-cost AV fleet will struggle to generate revenue if its vehicles are not highly utilized. And even a well-utilized but fixed fleet will struggle to meet consumer demand at peak times.

Taking each of these pieces in turn:

First, safety will continue to be critical to maintaining progress, as serious safety incidents are likely to set back the entire industry. We commend our partner Waymo for its responsible and deliberate safety approach, setting the standard and the bar for [transparency](#). As more players enter the market, public scrutiny will intensify—and with multiple technology platforms and differing safety approaches, the risks will increase exponentially. It is our view that AVs will need to be orders of magnitude safer than human drivers in order to earn the trust of the public.

Standing for Safety is a core value for Uber, and we are committed to upholding an extremely high safety standard alongside all of our partners.

Second, AV regulations continue to be highly fragmented at a state level, with varying oversight and reporting requirements. In the US, we welcome a more standardized national framework that does not compromise on safety, though we expect that AV testing and deployment regulations will mostly continue to be determined at the state level. Outside of the US, regulatory frameworks are still under development, with a handful of jurisdictions having enabling regulations today. Wherever possible, we are moving to bring AVs to market with our partners and, following our launch in Abu Dhabi, we anticipate several more international expansions in 2025.

Third, while the AV software stack is advancing, progress from auto OEMs has been slower. Yet OEMs will be critical to delivering cost-effective vehicles at scale. So far, most AV players have retrofitted a small number of traditional vehicles with the sensor kit that is necessary for safety today. With costs of over \$200K+ per vehicle, these cars are extremely expensive. But in order to drive incremental TAM penetration, costs will need to come down dramatically—without compromising on safety. Even though OEM capacity remains a bottleneck to commercialization today, we believe that in the long run, autonomy will be an enabling technology and all new vehicles will be sold with L4-capable software. In that world, vehicle supply will gravitate toward Uber's high-utilization network, much like the nearly 17 million drivers and couriers who took a trip on our platform in 2024.

Fourth, successful commercialization requires scaled, efficient on-the-ground operations, something that sits squarely within Uber's domain of expertise. It is important to note that an average-utilized AV can run as much as 100K miles a year, compared to a typical consumer vehicle at 10-15K miles a year. This means that AVs need to be charged multiple times a day and serviced monthly. AVs will also require consistent cleaning and available parking, all of which Uber is uniquely equipped to manage. Uber also has 15 years of experience to support a host of other key operational issues like fare disputes, lost item returns, stranded vehicle rescue, and insurance claim resolution.

Uber can deliver the lowest operational costs for our AV partners because we are leaps and bounds ahead on every aspect of the go-to-market capabilities that are critical to commercialization. For example, we partner with more than 50,000 fleet operators that together manage more than a half a million vehicles on our network globally, accounting for nearly 20% of our Mobility Gross Bookings. We also have a highly optimized cost structure that has been honed over the 12 billion annualized trips now happening on Uber. Our AV partners get to plug into that cost structure instantly—with advanced capabilities in customer acquisition, customer support, and the underlying technology and payments stack. Put simply, we are the player with the scale and expertise to run AV operations at the highest efficiency, period.

Finally, assuming that all four of the aforementioned commercialization issues have been addressed, AV operators will face another daunting challenge: the highly variable nature of ridesharing demand, which has large peaks and troughs throughout the day, week, month, and year. Any standalone player with a fixed depreciating asset will need to build against that reality: choosing between running a highly underutilized network (if supply is built for peak demand) or a highly unreliable network at peak periods (if supply is built for anything less than peak).

For instance, in a typical large city, a fixed fleet designed to meet the weekly peak will have up to 95% of vehicles idle during the multiple weekly troughs. Conversely, a fleet sized below peak cannot deliver the reliable 4-minute ETAs that consumers expect. This dilemma is compounded by the fact that vehicle supply will need to vary dramatically throughout the year: in many North American cities, demand peaks around March and trends down through the summer, only rebounding in the fall. Weekly peaks may be 50%+ higher than the lowest week of the year. On top of that, supply will need to constantly grow to meet overall industry expansion (Uber is still growing near 20% YoY), the trajectory of which is non-linear. This could mean that a fixed network that is well supplied in March may find itself idling a third or more of its vehicles for several months, until Halloween. Because demand patterns look similar (although not identical) between cities, underutilized vehicles cannot be easily repositioned and will likely sit unused for months, generating additional cost and complexity—against zero revenue.

Given the scale of the Uber platform, and human drivers' ability to dynamically fulfill demand spikes—and take a break during demand troughs—partnering with Uber allows AV players to move much faster than they could on their own. This fact gives us confidence that the Uber network, with a hybrid of AV and human drivers, will deliver the highest asset utilization and revenue generation opportunity for our partners.

We are spending an enormous, yet appropriate, amount of organizational energy to execute on our AV strategy. We will have much more to share through the year, starting with our public launch with Waymo in Austin next month and Atlanta this summer. Beginning this morning, Austinites can join our Interest List in their Uber app to get updates on our plans and increase their chances of being matched with an autonomous vehicle after we launch.

Prashanth Mahendra-Rajah, CFO

Financial recap

We delivered yet another quarter of focused and disciplined execution across the business. We exceeded the high end of our constant-currency Gross Bookings guidance range, with Gross Bookings up 21% YoY (vs. guidance of 16% to 20%) to \$44.2 billion, with upside from both Mobility and Delivery. Freight Gross Bookings were flat YoY, pressured by continuing category-wide headwinds. Foreign exchange was a headwind of \$1.1 billion YoY or approximately 300 bps, a full 100 bps worse than our expectations. This was driven by a broad based strengthening of the US

dollar against foreign currencies, with a notable devaluation of the Argentine peso, Brazilian real, and Mexican peso, resulting in an outsized 600 bps headwind for Mobility. To put it in context, we witnessed a roughly 25 percentage point currency headwind to our LatAm Gross Bookings YoY. Revenue increased 21% YoY to \$12.0 billion, in-line with Gross Bookings growth.

We continued to drive significant leverage, with Adjusted EBITDA up 44% YoY on a reported basis to a record \$1.84 billion and an Adjusted EBITDA margin of 4.2% of Gross Bookings. On a GAAP basis, we generated income from operations of \$770 million. Income from operations increased YoY driven by strong operating performance and lower stock-based compensation expense, partially offset by discrete legal and regulatory related matters. Net income for the quarter was \$6.88 billion, which included a \$6.38 billion benefit from a tax valuation release and a \$556 million net unrealized pre-tax gain related to the revaluation of our equity investments. Our GAAP net income may continue to see swings from quarter-to-quarter due to equity stakes on our balance sheet.

Turning to our cash flow, on a trailing twelve month basis, we generated a record \$6.9 billion of free cash flow (FCF), compared to Adjusted EBITDA of \$6.5 billion, representing a conversion of 106%. Our strong underlying FCF generation demonstrates the significant earnings power of our business. As a reminder, FCF conversion can fluctuate on a quarterly basis due to working capital seasonality and the timing of cash payments, among other factors, and we encourage investors to evaluate our FCF on an annual basis.

At our 2024 Investor Update, we laid out a three-year outlook for investors to measure our performance. One year in, I'm pleased to report that to date we have cleanly exceeded our commitments on all three items. For 2024, Gross Bookings grew 21% YoY (three-year outlook: mid-to-high teens constant-currency CAGR), Adjusted EBITDA grew 60% YoY on a reported basis (three-year outlook: high 30s% to 40% CAGR) and Free Cash Flow conversion as % of Adjusted EBITDA was 106% (three-year outlook: 90%+ on an annual basis). Our quality of GAAP financials also improved significantly, with Revenues of \$44.0 billion (+19% YoY) and Operating Income of \$2.8 billion (+152% YoY on a reported basis).

Capital structure

We continue to maintain strong liquidity, ending the quarter with \$7.0 billion in unrestricted cash, cash equivalents, and short-term investments, down \$2.1 billion QoQ. As a reminder, we redeemed \$2.0 billion in existing debt during Q4. In addition, our equity stakes were marked at \$8.5 billion, the majority of which are publicly listed. Over the coming years, we plan to be opportunistic and monetize our equity stakes in a judicious manner to maximize the long-term value for Uber and our shareholders. We will utilize those proceeds in line with our capital allocation priorities.

Our capital allocation priorities remain unchanged:

1. Our top priority is investing in growth to support our core business and capital-efficient opportunities to further generate durable FCF growth. We may leverage our balance sheet strength to make investments in support of our long-term priorities, such as investments in building out the operational ecosystem for AV;
2. We plan to maintain financial policies and ample liquidity consistent with a solid investment grade rating to support our expanding marketplace and improve our cash efficiency over time;
3. Selectively evaluate acquisition opportunities that are aligned with our strategy. We continue to hold a high bar for any M&A opportunities, and our successful organic growth efforts will keep a critical eye on healthy unit economics as we continue to scale globally;
4. Return excess capital to shareholders through stock repurchases; we remain on track to steadily reduce our share count.

We repurchased \$550 million of common stock in Q4, and in January, with our stock trading at what we believe represents a significant discount to the value of our business, we announced an accelerated share repurchase (ASR) program to retire \$1.5 billion of common stock. Consequently, in the first 12 months since we announced the introduction of our inaugural stock repurchase program, we are acquiring \$2.75 billion of our stock. We expect to be active and opportunistic buyers of our stock under our existing \$7 billion repurchase authorization (\$4.25 billion remains unused post the ASR).

Outlook

Given the significant headwinds from the ongoing strengthening of the US dollar, it is an opportune time to discuss our philosophy around managing FX volatility. We are a global business with on the ground operations in 70+ countries. As a significant portion of our costs (particularly driver and merchant payments) are in local currencies, to an extent we benefit from natural profit hedging against the FX volatility recorded in our Gross Bookings. That said, we're not fully hedged as some portion of our variable costs and a significant portion of our fixed costs (particularly R&D and G&A headcount) are USD denominated. We ask investors to assess our Gross Bookings growth on a constant currency basis, and we remain committed to managing currency driven cost volatility in our P&L and delivering on our Adjusted EBITDA commitments.

Based on quarter-to-date trends:

- We expect Q1 Gross Bookings growth of 17% to 21% YoY on a constant-currency basis.
 - This translates to reported Gross Bookings of \$42.0-43.5 billion as our outlook assumes a roughly 5.5 percentage-point currency headwind to total reported YoY growth (including a roughly 7 and 4 percentage point currency headwind to Mobility and Delivery growth, respectively).

- For perspective, at the Q4 2024 exchange rates, our Q1 2025 reported Gross Bookings outlook range would have been nearly \$1 billion higher (\$43.0-44.5 billion).
- This also reflects the effect of lapping leap day in Q1 2024 and the impact of the Los Angeles fires and extreme weather in January.
- We expect Q1 Adjusted EBITDA of \$1.79-1.89 billion, growing 30% to 37% YoY.

Additionally, for H1, we expect Mobility to deliver 20%+ growth and Delivery growth to remain relatively stable on a constant-currency basis. We remain confident about continuing to make strong progress on our 3-year outlook in 2025.

Lastly, as we continue to improve our GAAP earnings quality, we are providing visibility into certain GAAP metrics:

- 2025 stock-based compensation of \$1.7-1.9 billion.
- 2025 depreciation and amortization expense of \$600-700 million.

Forward-Looking Statements Disclaimer

These prepared remarks include both GAAP and non-GAAP financial measures. Additional disclosures regarding these non-GAAP measures, including a reconciliation of GAAP to non-GAAP measures, are included in the press release, supplemental slides and our filings with the SEC, each of which is posted to investor.uber.com.

Certain statements in this presentation and on this call are forward-looking statements. You should not place undue reliance on forward-looking statements. Actual results may differ materially from these forward-looking statements, and we do not undertake any obligation to update any forward-looking statements we make today, except as required by law.

For more information about factors that may cause actual results to differ materially from forward-looking statements, please refer to the press release we issued today and in other filings made with the SEC.

All Q4 growth rates reflect YoY growth and are on a constant-currency basis, unless otherwise noted. Lastly, we ask you to review our earnings press release for a detailed Q4 financial review and our Q4 supplemental slides deck for additional disclosures that provide context on recent business performance.